33. The Central Government should review all the existing cesses and surcharges with a view to bringing down their share in the gross tax revenue.

34. Because of the close linkages between the plan and non-plan expenditure, an expert committee may be appointed to look into the issue of distinction between the plan and non-plan expenditure.

35. There should be much better coordination between the Finance Commission and the Planning Commission. The synchronisation of the periods covered by the Finance Commission and the Five-Year Plan will considerably improve such coordination.

36. The Finance Commission division in the Ministry of Finance should be converted into a full-fledged department, serving as the permanent secretariat for the Finance Commissions.

37. The Planning Commission has a crucial role in the current situation. But its role should be that of coordination rather that of micro managing sectoral plans of the Central ministries and the states.

38. Steps should be taken for the setting up of an Inter-State Trade and Commerce Commission under Article 307 read with Entry 42 of List-I. This Commission should be vested with both advisory and executive roles with decision making powers. As a Constitutional body, the decisions of the Commission should be final and binding on all states as well as the Union of India. Any party aggrieved with the decision of the Commission may prefer an appeal to the Supreme Court.

The recommendations contained in the Report of the Punchhi Commission have been considered by the Standing Committee of the Inter-State Council in its meetings held in 2017 and 2018. The recommendations of the Commission along with the recommendations of the Standing Committee thereon, have been circulated to the state governments for comments[23].

Table 15.1 Articles Related to Centre-State Legislative Relations at a Glance

Article No.	Subject Matter
245.	Extent of laws made by Parliament and by the legislatures of states
246.	Subject-matter of laws made by Parliament and by the legislatures of states
246A.	Special provision with respect to goods and services tax
247.	Power of Parliament to provide for the establishment of certain additional courts
248.	Residuary powers of legislation